

AGRICULTURAL COOPERATION IN INDIA

Government of India realized that cooperatives were the only alternative to increase agricultural credit and development of rural areas, **as recommended by AIRCSC headed by Sri. Gorwala**. Hence, cooperatives **received substantial help in getting credit from Reserve Bank of India and large-scale assistance** and encouragement from both central and state governments for their growth and development.

Role of Cooperatives for Indian Farmers:

1. Marketable surplus:

- With agricultural cooperatives, the constraint of small and fragmented landholdings and less produce is overcome.
- The marketable surplus of food grain and industrial raw materials can be transported and marketed on a bulk basis for remunerative prices.

2. Market reach

- With collective strength, cooperatives enable farmers to control supply and marketing channels.
- Agricultural cooperatives assist farmers in expanding their market reach so they may sell their products for remunerative prices.
- Cooperatives increase the farmers' creditworthiness, and thus, they have a better capacity to sell surplus items for more money.

3. Collective strength

- Small farms would not have been able to expand irrigation potential and land production on their own.
- Farmers in cooperative farming have access to more land and resources, including men, materials, and money, thus increasing production capacity.

4. Better price realization

- Cooperatives could offer better competitiveness for smallholder farmers.
- They can thus give farmers more negotiating leverage, access to new markets and technology, and cost savings by pooling their resources and expertise.

- Farmers who are efficiently organized can form a collective voice to advocate for their needs and access services at affordable prices for better yields, sales, and profits

5. Government interaction

- From the administrative viewpoint, cooperatives facilitate easier interaction and transactions with the government.
- g., collecting taxes, distributing subsidies, introducing improved methods of production, etc.
- This, in turn, increases the bargaining power of the cooperatives in terms of price fixing, subsidies, etc.

6. Knowledge sharing

- Agricultural cooperatives can play a vital role in educating the farmers to reduce the cost of cultivation through balanced use of fertilizer, and improve water-use efficiency.
- It also helps farmers understand new technologies in farming.

7. Credit facilitation

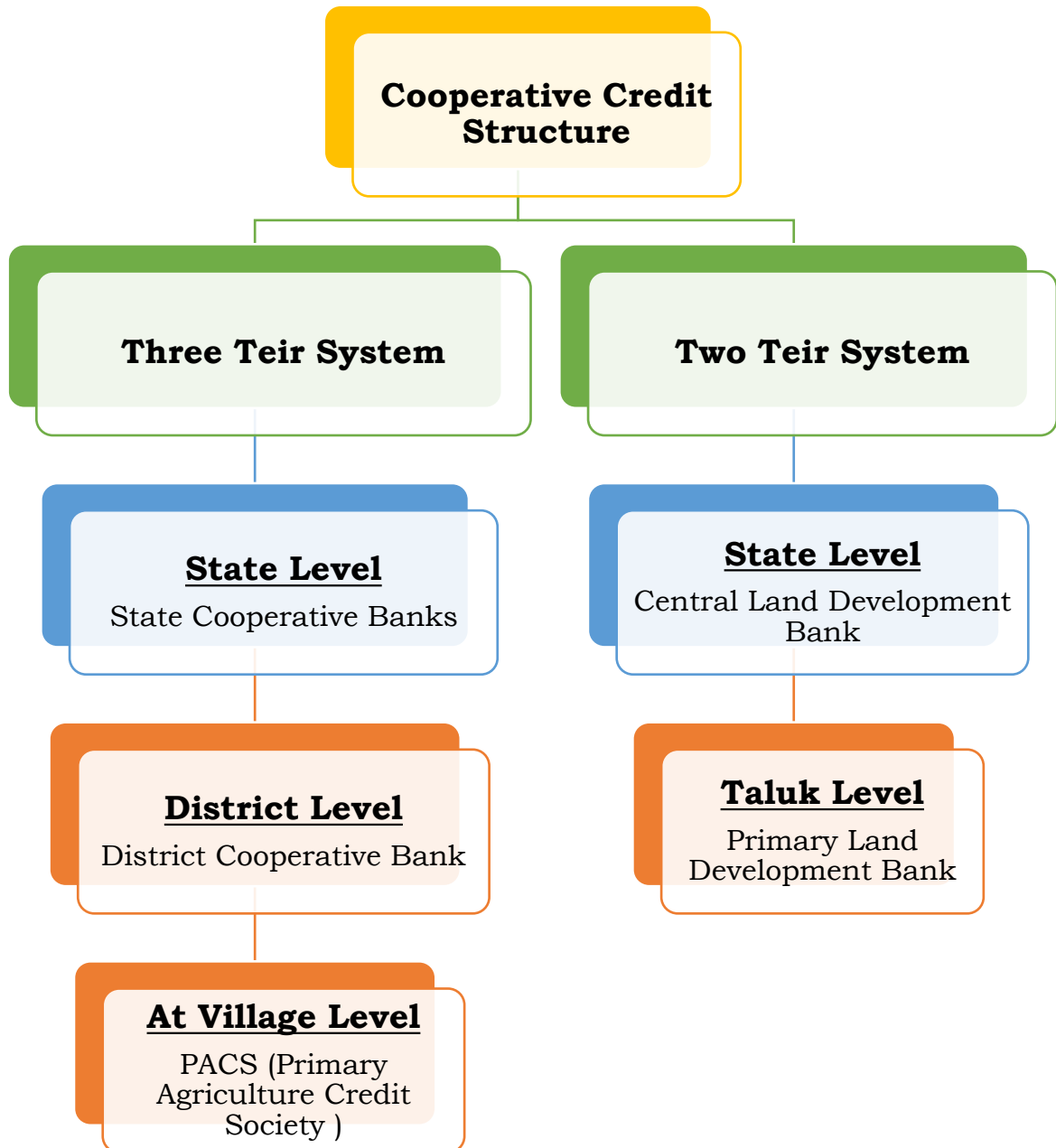
- Cooperatives can give farmers access to finance, which they can use to buy farming-related supplies and equipment.
- It facilitates credit to farmers at a reasonable rate of interest

8. Income generation

- Cooperatives can help establish **more warehouses to avoid distressed sales of produce, link with the National E-market (e-NAM)**, emphasize value addition and encourage farmers to take up other allied activities like poultry, beekeeping, and fisheries.

Cooperative Structure

Cooperative structure was delineated in to two types viz., three-tier structure for providing short-term and medium-term loans and two-tier structure for long-term loans in all states except Bihar, Jammu and Kashmir, Maharashtra and Uttar Pradesh, where the structure is unitary i.e. concentrated at a single point.



Three Teir System

State Cooperative Banks (SCB's)

These are the apex/highest credit organizations existing at the state level. District cooperative Central Banks (DCCB's) and primary agricultural cooperative credit societies will act as members of these banks. These SCB's will supervise the activities

of the member banks and mobilize and deploy the financial resources among the member banks. **They serve as a bridge between RBI and PACS.**

Specific Functions of SCB's Are

- They help the **state governments in formulating developmental plans** pertaining to cooperative institutions.
- They also **helping coordinating the cooperatives with the government.**
- They **formulate and implement uniform credit policies** pertaining to cooperative development in the state.
- They **act as Bankers Bank to DCCBs.**
- They **will grant subsidies for the smooth functioning of DCCBs.**

District Cooperative Central Banks (DCCBs)

They act as **link between state cooperative banks and primary agricultural cooperative societies.** DCCBs also undertake normal banking functions like accepting of deposits from public, collection of bills, cheque and drafts etc. They also provide required credit for needed persons. **In DCCBs the area of operation varies from erstwhile taluk to district, but in most of them it is confined only to taluks.**

In DCCBs membership is open to individuals and other societies falling under its area of operation. **Marketing societies, consumers' societies, Farming societies, urban banks and PACS' will usually enroll as its members.**

Specific Functions of DCCB's Are

They supervise and inspect the activities and functions of PACS' and help them to function smoothly.

- Apart from providing guidance **they also provide leadership to PACS'**
- **They also undertake non-credit activities** like **supply of seeds, fertilizers and also consumer items like sugar, kerosene etc.**
- They **provide requisite credit for societies** under their control.
- They **accept deposits from the member societies** as well as from public

Primary Agricultural Cooperative Credit Societies (PACS')

With the **enactment of Cooperative Societies Act of 1904**, PACS' came in to existence **following the guidelines of Raiffeissen model. These societies will function at village level providing the farmers the required short term and medium-term loans.** Supply of other agricultural inputs and essential consumer items is also taken up by these societies. **PACS' also helps in formulating and implementing the agricultural developmental plans.**

Specific Functions of PACS Are

- They **borrow adequate and timely funds from DCCBs** and help its members by providing required finances.
- **They attract local savings of members towards share capital and deposits from the villagers.**
- They **supervise the end use of credit.**
- They **distribute fertilizers, seeds and pesticides to the needy farmers.**
- They **provide machinery to the farmers** on hire basis.
- They also **associate themselves with the plans and programmes meant for the socio-economic development of the village.**
- They help **the farmers in marketing of farm produce.**
- They **provide storage facilities and marketing finance.**
- They help in **supplying certain consumer goods like rice, wheat, sugar, kerosene, clothes etc at fair prices.**

Two – Tier system

Central Land Development Bank (CLDB)

Central Land Development Bank is an **apex bank in the two-tier cooperative credit structure providing long-term credit /finance to PLDBs and its subsidiary/affiliated branches.** The branches of CLDBs, PLDBs and individual entrepreneurs are the members

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of CLDB. **National Bank for Agriculture and Rural Development and Life Insurance Corporation (LIC) subscribe for its debentures. NABARD is a refinancing agency to the CLDBs. CLDB is a link between NABARD and government in long-term transactions.**

Specific Functions Of CLDB Are

- CLDB **inspects, supervises and guides PLDBs** in their banking operations.
- It **floats/invites debentures for raising the necessary funds.**
- It **inculcates/develops the spirit of thrift among the members by mobilizing savings and stimulating capital formation** i.e. asst creation.
- It **provides loans to the member banks for the redemption of old debts,** development of land, purchase of machinery and equipment and development of minor irrigation etc.

Primary Land Development Banks (PLDBs)

These banks were originally **organized to cover one or a few taluks in the district.** At present they are eligible to cover one development block. **All land owners are eligible to become members and borrow funds by mortgaging their land.** The principal borrower is enrolled as 'A' class member and others who have interest in the mortgaged property are admitted as 'B' class members. **The area of operation of PLDB was at erstwhile taluk level.**

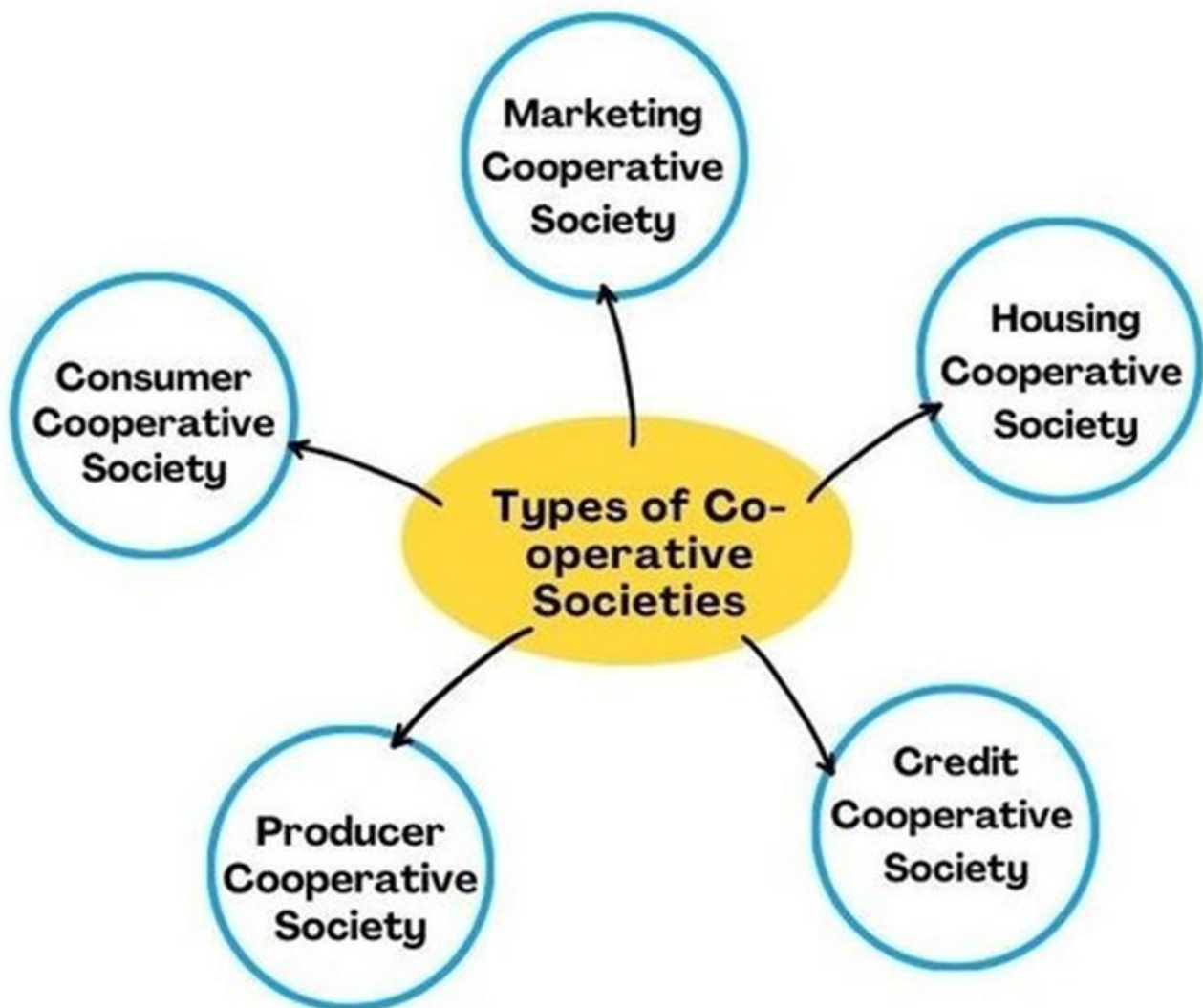
Specific Functions Of PLDB Are

- To provide **long-term credit to the needy farmers** for the land development increased agricultural production and productivity of land.
- They **provide loans for minor irrigation, purchase of land and for redemption of old debts.**
- They **finance farmers in purchase of tractors,** machinery and equipment.
- They **provide finance to farmers for the construction of farm buildings.**
- They **mobilize rural savings**

Different Types of Cooperatives

1. Credit Co-Operative

A financial organization owned and controlled by its members, **who can borrow at low interest rates from an amount of money they have saved as a group. Credit co-operatives provide financial services to poor and low-income people**



2. Marketing Cooperative:

Co-operative marketing **organisations are association of producers for the collective marketing of their produce and of securing for the members the advantages that result**

from large-scale business which an individual cultivator cannot secure because of his small marketable surplus. In other words, co-operative marketing societies are established for the purpose of collectively marketing the products of the member producers.

3. Consumer Cooperative

These societies are primarily for consumers who wish to buy household goods at lower prices. The society buys goods or products in bulk amounts directly from the producer on wholesale rates and sells them to the members, thus eliminating the need for a middleman. They ensure a regular supply of goods at reasonable rates. They set up stores or outlets to sell goods and avail huge trade discounts from producers. Some of the best examples of a consumer co-operative society are Super Bazar and Apna Bazar.

4. Processing Cooperatives

Cooperatives that involve in processing of agricultural and allied activities produce are called processing cooperatives. NCDC has been promoting cooperatives involved in processing of foodgrains, plantation crops and oilseeds, by providing financial assistance through State Governments, as well as directly to the processing societies, to meet the needs of these cooperatives.

5. Cooperative Warehousing

These warehouses are owned, managed and controlled by co-operative societies. They provide warehousing facilities at the most economical rates to the members of their society.

6. Farmers Cooperatives

An agricultural cooperative, also known as a farmers' co-operative, is a cooperative where farmers pool their resources in certain areas of activity. A broad typology of agricultural cooperatives distinguishes between 'agricultural service cooperatives', which provide various services to their individually farming members, and 'agricultural production cooperatives', where production resources (land, machinery) are pooled and members farm jointly.

7. Multi-Purpose Cooperative Society (MPCS)

The cooperatives **formed for different purposes such as credit, marketing, production, consumption etc.**, are called as **multi-purpose cooperative societies**.

Whenever a cooperative society is established to attain multi-purpose objectives is called multi-purpose cooperative society. **It is an organization which is owned and operated by a group of individuals for their mutual benefit.** As the name indicates its responsibility for a different purpose for which it has been set up. **It can work for arranging credit, improved seeds, agricultural implements, fertilizers, sanitation, health, etc.**

Farmers Service Societies (FSS)/ Farmers Service Cooperative Societies (FSCS)

Farmers Service Societies are well organized and registered units functioning on the principles of cooperation. **As many cooperatives are rendering their services only to affluent farmers, the National Commission on Agriculture (NCA) strongly felt that separate societies for meeting the needs of weaker sections in rural areas are envisaged.**

Hence with the **recommendations of NCA, the FSS were organized in the year 1971**, on cooperative lines to provide integrated credit services to weaker sections of rural areas viz., small farmers, marginal farmers and agricultural labourers and rural artisans.

Important Functions of FSS Are

- To supply **all types of loans i.e. crop loans (ST), MT and LT Loans to weaker sections.**
- To **provide adequate supplies of requisite inputs** and technical guidance for their development.
- To **encourage dairy, poultry, fisheries, farm forestry** and other subsidiary occupations in rural areas.
- To make **arrangements for bringing about improvements** in agriculture markets.
- To **mobilize deposits and small savings from weaker sections** by providing incentives.

Important Cooperative Organisation – Related to Agriculture

1. National Cooperative Union Of India, (Ncui)

The **National Cooperative Union of India (NCUI)** is an **Apex Cooperative Organisation in India representing the entire cooperative movement in the country**. It was established in 1929 as All India Cooperative Institutes Association and was rechristened as National Cooperative Union of India in 1961

Its objectives are to promote and develop the cooperative movement in India, to educate, guide and assist the people in their efforts, to build up and expand the cooperative sector and serve as an exponent of cooperative opinion in accordance with cooperative principles.

2. National Cooperative Development Corporation (NCDC)

It was **established by an Act of Parliament in 1963 as a statutory Corporation under Ministry of Agriculture & Farmers Welfare. It's headquartered in New Delhi.**

Functions-

- **Planning, promoting and financing programmes for production, processing, marketing, storage, export and import of agricultural produce**, food stuffs, certain other notified commodities e.g. fertilisers, insecticides, agricultural machinery, lac, soap, kerosene oil, textile, rubber etc.,
- **Supply of consumer goods and collection, processing, marketing, storage and export of minor forest produce through cooperatives**, besides income generating stream of activities such as poultry, dairy, fishery, sericulture, handloom etc.
- NCDC will now **be able to finance projects in the rural industrial cooperative sectors and for certain notified services in rural areas like water conservation, irrigation** and micro irrigation, Agri insurance, agro-credit, rural sanitation, animal health, etc.
- **Loans and grants are advanced to State Governments for financing primary and secondary level cooperative societies and direct to the national level and other societies having objects extending beyond one State.** Now, the Corporation can also

go in for direct funding of projects under its various schemes of assistance on fulfilment of stipulated conditions.

- **NCDC is endowed with in-house technical and managerial capabilities in the areas of Cooperation, Organisation & Methods**, Financial Management, Management Information Systems, Sugar, Oilseeds, Textiles, Fruits & Vegetables, Dairy, Poultry and Livestock, Fishery, Handlooms, Civil Engineering, Refrigeration and Preservation to help cooperatives to identify/formulate projects and successfully implement them.

3. National Agricultural Cooperative Marketing Federation (NAFED)

NAFED was established in 1958, New Delhi as its headquarters. It is an apex organisation for cooperative marketing in India.

NAFED may undertake one or more of the following functions/ activities

- To **facilitate, coordinate and promote the marketing and trading activities of the cooperative institutions in agricultural and other commodities**, articles and goods
- To undertake or **promote on its own or on behalf of its member institutions or the government or government organisations**, inter-state and international trade and commerce and undertake, **wherever necessary, sale, purchase, import, export and distribution of agricultural commodities, horticultural and forest produce.**
- To undertake purchase, sale and supply of agricultural products, marketing and processing requisites, such as manure, seeds, fertiliser, agricultural implements and machinery, packing machinery, construction requisites, processing machinery for agricultural commodities, forest produce, dairy, wool and other animal products
- To act as **agent of any government agency or cooperative institution, for the purchase, sale, storage and distribution of agricultural, horticultural, forest and animal husbandry produce, wool, agricultural requisites and other consumer goods**
- To set up storage units for storing various commodities and goods, by itself or in collaboration with any other agency in India or abroad

- **To collaborate with any international agency or a foreign body for development of cooperative marketing, processing** and other activities for mutual advantage in India or abroad
- To **undertake marketing research and dissemination of market intelligence**

Challenges With Cooperatives in India

1. **Regulation and Supervision**: Fragmented regulatory framework and dual control issues lead to inconsistencies in supervision.
2. **Governance and Management**: Poor governance and management contribute to mismanagement and fraud, leading to failures.
3. **Capital Adequacy**: Struggles to maintain sufficient capital levels hinder operational resilience and expansion.
4. **Credit Risk Management**: Lending to SMEs and individuals with limited credit history poses challenges in managing credit risks.
5. **Technology and Innovation**: Lack of investment in modern technology limits competitiveness against larger banks and fintech firms.
6. **Competition**: Intense competition from commercial banks and fintech companies makes customer retention difficult for financial cooperatives.

Other Government Initiatives for the Cooperative Sector

1. **Financial Support**: The government ensures that every farmer in the country receives **approximately ₹50,000 annually through various means**, providing financial security and assistance.
2. **Formation and Promotion of 10,000 Farmer Producer Organizations (FPOs)**: This Central Sector Scheme aims to empower farmers by enabling them to enhance their bargaining power, leverage economies of scale, reduce production costs and increase their incomes through the aggregation of agricultural produce, contributing to sustainable livelihoods.
3. **Fertilizer Subsidy**: Over the **past nine years, the government has allocated ₹10 lakh crore towards fertilizer subsidies, ensuring** that farmers have access to crop nutrients at affordable prices despite global price fluctuations.
4. **Parliament passed the Multi-State Cooperative Societies (Amendment) Bill, 2022**, aimed at enhancing transparency, accountability, and ease of doing business in the cooperative sector. The bill introduces provisions such as the establishment of a

Cooperative Election Authority, **the creation of a Cooperative Rehabilitation Reconstruction and Development Fund, the appointment** of a cooperative ombudsman and information officers, and the representation of women and SC/ST members on cooperative society boards.

- 5. Government's Electronic Marketplace (GeM):** GeM **version 4 is an innovative online platform dedicated to marketing goods and services from MSMEs** and non-financial cooperatives, boasting over 62,000 government buyers, 49 lakh sellers, and numerous products and services.
- 6. Welfare Schemes for Dairy Development:** Several welfare schemes support dairy development and fisheries, pivotal for rural households, with milk cooperatives proving successful.
- 7. Cooperatives as a Business Model:** Cooperatives serve as a viable business model for post-harvest processing, warehousing, and packaging.
- 8. Use of Technology:** The government envisions rural development through technology adoption in schemes like **Digital India, BharatNet, and e-Governance**.
- 9. Computerisation of PACS** – to strengthen PACS govt set a target **to computerize 63000 functional PACS in 28 states and UT which entails bringing all the functional PACS onto an ERP (Enterprise Resource Planning) based common national software, linking them with NABARD through State Cooperative Banks (StCBs) and District Central Cooperative Banks (DCCBs).**

Conclusion

Cooperatives play a **vital role in supporting farmers by offering financial aid, sharing modern farming knowledge, facilitating the marketing of produce, and procuring essential inputs**. Their efforts contribute significantly to the advancement of the agricultural sector and the well-being of farmers.